Understanding Customer Loyalty and Churn in the Era of Telecom Commoditization

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Abstract

This study is a phenological exploration into how customers and employees in the U.S. telecommunications industry experience and interpret reliability, empathy, and trust, and how these perceptions influence customer churn and loyalty. As telecommunication providers become increasingly automated and commoditized, understanding the human dimensions of customer experience (CX) has become essential for differentiation and retention. Existing studies emphasize quantitative churn, few examine lived experiences of loyalty or the connection between employee and customer interactions. Guided by phenological methods, this research seeks to capture the essence of lived experiences of customers and employees through semi-structured interviews, focus groups, and thematic analysis. Multi-modal sampling methods will be used to identify participants representing customers and telecommunication employees. Thematic coding will be used to identify patterns of reliability, empath and trust in engagement, satisfaction, and retention. Findings will extend CX theories and automation design by linking emotional perception to operation reliability. The study contributes to academic and practical understanding by bridging the gap between predictive analytics and human experience, offering insight into how empathy and trust can remain central to customer relationships in an increasingly digital industry.

Understanding Customer Loyalty and Churn in the Era of Telecom Commoditization

The telecommunication industry is undergoing rapid transformation. Automation, artificial intelligence, and network digitization redefine how customers interact with telecommunication companies. Originally a monopoly, then distinguished by infrastructure and geographical coverage, companies must now compete for customer markets. Telecommunications are now on the precipice of commoditization and often recognized as a utility. Revenues have begun to flatten due to fierce competition and regulatory constraints (KPMG International). Traditional triple-play services, which include broadband internet, voice, and television, are losing differentiation as over-the-top (OTT) services such as VoIP, IPTV, streaming media, IoT, and smart home platforms dominate customer experiences. McKinsey & Company (2023) described this shift as a critical moment for global operators: as connectivity becomes ubiquitous, differentiation depends less on technology and more on how customers perceive reliability, empathy, and trust. Customer perception influences not only satisfaction but the likelihood a customer chooses to stay or leave. This process is known as churn. To understand how customers and employees experience reliability, empathy, and trust is now critical to maintaining competitiveness and financial stability in the telecom sector.

Customer churn is one of the most persistent challenges facing service providers. Research consistently demonstrates that retaining customers is significantly more cost effective than trying to acquire new customers. Quantitative models of churn prediction have been improved in recent years. Most approaches rely on behavioral and transactional data, such as usage patterns, billing histories, and contract obligations. These ignore the emotional and perception experience of customers. This leads to a gap in qualitative research on how customers experience reliability, how they experience empathy and trust in service interactions, and how trust can be developed or eroded when using automation in human contact channels. While telcos focus on engineering network reliability, availability, and maintainability (RAM), these quantitative metrics fail to explain why customers remain loyal when

performance and pricing are equal. Thus, qualitative dimensions such as **empathy, fairness, and trust** become vital differentiators.

Customer experience is defined by a triad of positive experiences from reliability, empathy, and trust. Reliability in telecommunications includes consistent service or uptime, but it also includes the quality of the service during the uptime. Additionally, it is extended by the promise of this reliability known as the service level agreement (SLA). Although contractually commercial customers bind the service provider to an SLA of “five nines” or 99.999%, residential customers also expect this level of service even when they are bound to only best effort (BE) service plans. Empathy is reflected when the provider and customer meet to respond and discuss problems or service failures. Trust between customer and service providers exists when the provider consistently and confidently provides the agreed service and their level empathy aligns with customer expectations. As digital platforms replace human interaction it becomes essential to examine how both customers and providers interpret the changing dynamics. Ribeiro et al. emphasized that loyalty in bundled services is strongly affected by the quality of internet, television, and customer support experiences, demonstrating that the human element remains central even in technologically sophisticated environments (2024).

Telecommunication companies now face two critical challenges:

1. **Retention Challenge:** Maintaining the loyalty of existing customers by understanding what drives their decisions to stay or churn when network reliability and pricing are similar across providers.
2. **Innovation Challenge:** Attracting new customers by offering differentiated values beyond basic connectivity.

The problem this study addresses is the lack of qualitative understanding of reliability, empathy, and trust experienced between customers and telecommunication employees, how this lack of understanding leads to churn, how sufficiency in these qualities leads to loyalty, and how automation

can lead to improvement or worsening of churn. Specifically, it seeks to address: *How do telecommunications customers and employees experience and interpret reliability, empathy, and trust in an increasingly automated and commoditized environment, and how do those perceptions influence customer churn?*

The purpose of this study is to explore the phenomenon of customer churn from both **the** customer perspective (emotional and behavioral drivers of loyalty and departure) and the internal telecom perspective (operational, cultural, and procedural influences on churn). The study focuses on customer retention challenges by examining how empathy and trust interact with reliability in customer experience narratives. A phenomenological approach is necessary because it seeks to understand the lived experiences of customers and service provider employees rather than measure quantitatively (Creswell, 2025). By using interviews and case narratives, this study can describe moments of customer satisfaction or frustration, how employee's express empathy in interactions with customers, how automated systems perceive and express empathy, and how customers and service providers identify trust. Insights from these inquiries can help organizations collect appropriate metrics and design empathy centered automation solutions that improve operational efficiency.

This research will fill a gap in telecommunication literature by integrating the internal and external perspectives surrounding customer experience. Existing qualitative studies have identified factors related to customer satisfaction and churn. Quantitative studies often measure specifics on how network performance affects reliability. Meena and Geng identified dynamic competition and over-the-top services as external market pressures but did not explore how employees or customers emotionally respond to those pressures (2022). By combining streams of research under a qualitative lens this study will present new understandings of emotional foundations to churn and loyalty.

The significance of this study extends to academic, managerial, and policy domains. Academically this study contributes to growing qualitative research on customer experience (CX), churn,

and loyalty by linking reliability of network performance in telecommunication operations with phenomenological inquiry. This study provides insight into how executives and managers can link operational actions to customer decisions and tie automation and predictive algorithms to track customer behaviors. This can lead to training programs that guide customer interactions that provide empathy and trust in efforts to improve customer experience and loyalty. This study also aids in defining a pathway for service providers to converge from broadband internet into “Techos” (KPMG International), emphasizing innovation, customer experience, and trust to sustain loyalty. At a policy level, findings may support consumer advocacy and regulatory discussions led by the Federal Communications Commission (FCC) regarding transparency, fairness, and the ethical use of automation in customer service.

Review of Literature

Dynamic Competition:

Telecommunications providers have undergone dramatic change in recent decades as deregulation, privatization, and digital convergence have reshaped global competition. These changes followed the break of the AT&T monopoly, market entrants began competition which forced price competition and customer reforms (Meena & Geng, 2022). Competition led to technical and dynamic efficiency incentivizing firms to invest in their network infrastructure (Meena & Geng, 2022). Meena & Geng highlighted that since the 2000s, telecom competition has entered a “dynamic” phase characterized by internet protocol (IP) convergence, over-the-top (OTT) rivalry, and price wars (2022). Deployment of innovative services will have an impact on pricing (Meena & Geng, 2022). Competitors offering similar services boost their value through value-added (VA) services such as entertainment, caller tunes, family packages, missed call alerts, call blocking, insurance coverage, conference calling, and online market development (Meena & Geng, 2022). Research reveals that price structure, reliability, social influence (friends and family networks) drive switching behavior (Meena & Geng, 2022). Dynamic

competition drives reliable experience and value-added services. As telecommunications increasingly resembles a commoditized service, operators must now differentiate through customer experience rather than price or coverage alone. Analytic methods can enhance efficiency, but they can also erode the human aspects of interaction if not balanced by empathy and transparent communication. The industry thus faces a dual challenge: using technology to improve reliability while maintaining the emotional trust that sustains long-term relationships.

Customer Experience Impacts Satisfaction and Churn:

CX research in telecommunications has traditionally focused on satisfaction and loyalty, particularly within bundled service contexts that combine internet, television, mobile, and landline offerings. Ribeiro et al. found that customer loyalty is driven by reliability, billing clarity, and empathetic service interactions (2023). Reliability of service was measured for mobile service, television service, internet service, and fixed telephone service (Ribeiro et al, 2023). Television and internet services were the most influential to reliability decisions, while fixed telephone was the least (Ribeiro et al, 2023). This is understood due to changes in technology. Billing, store interactions, and call center interactions combine with reliability to determine overall satisfaction (Ribeiro et al, 2023). Overall satisfaction is a dominant predictor in determining brand loyalty and perceived value (Ribeiro et al, 2023). They demonstrated that loyalty exerted a strong negative relationship with churn: as loyalty increased, the probability of switching providers declined sharply. Therefore, customer loyalty is a high predictor of determining whether a customer will stay with the same provider (Ribeiro et al, 2023). Their model links reliability and empathetic engagement to satisfaction and brand reputation, which in turn influence loyalty and reduces churn. This supports a psychological chain: Reliable experience and empathetic interactions→ overall satisfaction → perceived value → trust and reputation → loyalty → lower Churn.

Customer Experience, Loyalty, and Contracts

Ribeiro et al. (2024) found additional support that service reliability for all services less telephone when combined with customer service were predictors of customer loyalty and that loyalty was a predictor of churn. Results followed Reibero et al. 2023 (2024). Ribeiro et al. also highlighted the role of billing transparency and customer service in shaping perceptions of trust (2024). This study found that customers tied administratively to the provider were less likely to switch (Reibero et al., 2024). Customers with a loyalty score of 1 had a churn rate of 88%. Those with a contract were only 2% more likely to stay with provider. Customers with a loyalty score of 9 to 10, churn probabilities 7% and 3% respectively, had between 10 to 13% increase of staying with the service provider with a contract (Reibero et al., 2024). In telecommunications, where services are intangible and problems often occur remotely, the quality of interpersonal communication becomes a tangible indicator of organizational reliability. Therefore, empathy displayed through customer service interactions is not merely a courtesy but a measurable determinant of loyalty and churn.

Predictive Modeling and Retention Frameworks

Although qualitative insights into customer perception are limited, quantitative research on churn prediction is abundant. Anderson synthesized findings from U.S. studies employing logistic regression, random forests, and neural networks, reporting prediction accuracies between seventy and ninety percent (2024). Anderson also emphasized Customer Lifetime Value (CLV) and CRM theories as frameworks for prioritizing high-value retention efforts (2024). It was also noted that customer behavior metrics of call duration, data usage, interaction frequency, and customer complaints play a crucial role in predicting churn (Anderson, 2024). Interaction frequency is a critical metric and forms a stronger relationship by increased calling, emailing, and visits (Andersson, 2024). Proactive customer service quality was found to be pivotal in retaining customers (Anderson, 2024). High volume of unresolved complaints and negative customer feedback increase churn (Anderson, 2024). Predictive analytics were found to enhance ROI and minimize churn (Anderson, 2024). Anderson identified a contextual gap of

rural, less competitive, diverse demographic, and socioeconomic areas (2024). These areas are often tied to Incumbent Local Exchange Carriers (ILEC) and E-ACAM underserved areas. Anderson identified reliability, latency, coverage, and empathy-based engagement as key determinants of churn reduction. Acquiring new customers costs five to twenty-five times more than keeping existing ones, and even small improvements in retention yield substantial profit gains. While models can identify customers at risk of leaving, they cannot explain why customers lose trust or feel neglected. Quantitative approaches need complemented with qualitative approaches. Expanding the beginning of the psychological chain to: Reliable experience and frequent empathetic interactions→ overall satisfaction.

Representative Satisfaction

Reliability, empathy, and trust have long been central to service quality theory. In telecommunications, these dimensions acquire unique significance because customers depend on consistent, invisible infrastructure and remote assistance when issues arise. When customers perceive that a provider resolves issues before they are noticed, confidence in the brand increases. Conversely, service failures combined with impersonal responses erode empathy and accelerate churn. Blockhorst et al. described a machine learning system designed to automatically predict customer satisfaction during phone calls (2017). They identified four stages: extraction, the linking of raw data; feature engineering, process information; model design, to create predictive models of customer satisfaction; aggregation of model predictions, grouping call queues in a period (Blockhurst et al., 2017). Blockhurst et al. identified related works in lexical and paralinguistic cues to classify emotional states, namely, positive, anger, and neutral (2017). Other studies were given a rating between 1 to 5. Blockhurst et al. suggest a design that is ordinal ranked using a two-stage model framework that first learns to rank customers by predicted satisfaction (2017). These values are then mapped to real satisfaction scores (2017). Ordinal models can indirectly quantify empathy. The pipeline of a transcribed call is broken down into utterances, “non-overlapping…semi-continuous speech by a single speaker,” which contains

text, sentiment, and speakers tone (Blockhurst et al, 2017). This is followed by the transcription of the call which contains overall sentiment. The call also contains metrics of hold times and duration. Finally, some calls for certain customers combine policy data (Blockhurst et al, 2017). This study demonstrates that call empathy can be systematically modeled collecting and interpreting tone, language, and emotion to improve customer satisfaction and trust.

Transforming from Telco to Techo

Telecommunications companies (Telco) want to evolve from traditional connectivity into Consumer Technological companies (Techo) and provide customer centric platforms like top tech industry leaders (McKinsey, 2022). Talent is the enabler of this transformation, and C-suite professionals indicate skill, culture, and commercial arrangements as the three priorities (McKinsey, 2022). Talent is linked to organizational culture which impacts decisions, effectiveness, and satisfaction of employees on the job (McKinsey, 2022). Telcos are known to struggle in these areas by having too much bureaucracy, short-term orientation, and lack of management buy-in to cultural initiatives (McKinsey, 2022). Techos are outpacing Telcos in design, digital applications, data analytics, artificial intelligence, sales, and marketing (McKinsey, 2022). AI is poised to be an economic disruptor and techos have doubled down on talent unlocking its abilities (McKinsey, 2022). Telcos have more to gain by doubling down on AI. To improve and get the talent needed, telcos must improve their employee value proposition at every stage of the employee's journey. This starts with brand awareness, image, technical value proposition, purpose, vision, diversity, and inclusion. Hiring outside personnel leads to changes and good questions because outside candidates are not familiar with status quo of older conservative operations (McKinsey, 2022). Telco executives recommend finding candidates with needed intrinsic values and teaching them (McKinsey, 2022). Compensation should be market comparable. Onboarding should be tailored to provide this image. Learning should be innovative with coaching and mentorship. Projects should be awarded to the best candidates to perform. Performance should be rewarded, fair, and transparent.

High achievers should be able to fast track progression with mobility and rotational assignments across functions and geographies. This mobility leads to excitement and leads to quicker results. Leaders should be inspiring, trustworthy, and create a sense of belonging to a community. Work should be flexible and present a work-life balance. Knowledge should not be siloed and shared so when exiting the company, the information is not lost. The old guard telco mindset can only be changed when innovative ideas reach critical mass (McKinsey, 2022). Telcos need to center their operating model around their core asset, the customer. By overinvesting in AI and using insights to predict customer needs and innovate proactive solutions, this will produce reliable and emotionally intelligent services that lead to loyalty and reduce churn (McKinsey, 2022). Objectives and Key Performance Indicators (KPI) should be linked to Net Promoter Scores (NPS), customer metrics, and employee engagement to align with the customer asset (McKinsey, 2022). Their core objective should be to understand the customer and to provide value for their customer.

Winning Telecommunications Customer Experience (CX)

McKinsey identified two pathways to success in telecommunications: Embark on end-to-end customer-centricity to improve each customer interaction and overall experience; and launch a digital native subsidiary to quickly drive customer experience (2023). McKinsey also noted four ingredients to success: End-to-end redesign of service delivery; Business insights from AI and data analytics; refined commercial value that captures CX-generated revenue; and cultural transformation that invests in frontline CX capabilities (2023). End-to-end transformation includes customer facing, back office, and support functions with a customer-first mindset (McKinsey, 2023). Telcos need to pay attention to customer shock of high bills by flagging accounts for potential data over usage, upgrades to data packages to avoid extra charges, and roaming or moving packages for relocations (McKinsey, 2023). Use advanced analytics to calculate customer lifetime value (CLV) such as longevity, service generated values, and costs to serve (McKinsey, 2023). Determine which customers can benefit from proactive

service by categorizing between truly positive responses, true negative responses, type one error false negatives, and type two error false (McKinsey, 2023). McKinsey noted that AI-driven predictive analytics now enables telcos to anticipate dissatisfaction, proactively resolve issues, and personalize CX journeys (2023). The shift to automation introduces innovation but also challenges maintaining empathy and human connection in digital interactions.

Organizational Success through AI Adoption

Tah found that AI enabled Customer Relations Management (CRM) systems leads to predictive customer support and enables personalized and empathetic engagement (2024). AI has the high capability to analyze datasets at high speed and can return knowledge to the Customer (Tah, 2024). AI management capabilities optimize resources, lower costs, and make operations more effective (Tah, 2024). AI helps decision makers make wiser decisions and unlock hidden patterns from large datasets (Tah, 2024). AI adoption, machine learning, and natural language processing streamlines the operations and leads to strategic data decision making (Tah, 2024). Organizations need to be concerned with biases built into AI algorithms as these can perpetuate suboptimal and discriminatory outcomes (Tah, 2024). There are concerns with privacy, surveillance, and the concentration of power at the hands of developers and larger corporations (Tah, 2024). Tah found four themes: AI adoption leads to organizational success, AI and Human collaboration improves organizational success, output, and efficiency; AI improves productivity through efficiency and competitiveness; AI use of neural networks and knowledgebase management systems leads to intelligent agents (Tah, 2024). Tah recommends the strategic implementation of an AI based CRM, Human-AI collaboration in decision making, productivity optimization through AI, knowledge enhancement through AI, and continuous adaptation and monitoring (2024).

Gaps in Existing Literature

Despite extensive research on churn prediction and quantitative satisfaction metrics, there remains a notable lack of qualitative inquiry into how reliability, empathy, and trust are experienced by customers and employees within telecommunications. Most research measures these concepts as variables instead of exploring them as phenomena. The literature also tends to isolate customer data from employee perspectives, overlooking how internal processes and culture affect external experiences. The rise of automation and artificial intelligence has brought about ethical and emotional challenges that current frameworks rarely consider. The question of how customers interpret empathy when interacting with chatbots, or how employees maintain empathy when guided by algorithms, remains unexplored.

This gap suggests the need for a phenomenological approach that captures lived experiences rather than numerical patterns. Through reflective conversations involving customers and employees, researchers can discover how people define reliability and empathy, identify key instances when trust is built or lost, and understand how these interactions shape their sense of loyalty or lead to disengagement. Such understanding is essential for designing empathy-preserving automation systems and for guiding managerial strategies that balance technological efficiency with human connection.

Methodology

This study employs a phenomenological qualitative approach to understanding how customers and telecommunications employees experience and interpret reliability, empathy, and trust within the context of churn. Phenomenology is most appropriate as it seeks to understand the essence of lived experiences within their real-world contexts (Creswell, 2025). Phenomenology, unlike quantitative methods, lets participants explain in their own words how they experience reliability and empathy with telecommunications providers. The focus is on uncovering shared meanings rather than statistical generalization. This approach is especially suitable for telecommunications, a field where automation and commoditization have created both efficiencies and emotional distance. The design allows the

researcher to examine the phenomenon through two complementary lenses: external customer experience and internal employee experience. Understanding both perspectives is necessary because the delivery of reliability and empathy is relational. A phenomenological design captures depth, emotion, and complexity of experiences that numerical churn data alone cannot explain. This research incorporates multiple cases from within the telecom sector to provide depth and internal perspective.

The study will take place in a U.S. telecommunications company with multiple service lines, currently implementing digital transformation efforts like AI-driven customer support and automated network monitoring. These features make it an ideal setting to explore how automation affects perceptions of empathy and trust. Recent industry trends show that technological innovation is transforming both the delivery of reliability and the way customers connect with their service providers (McKinsey, 2023; Ribeiro et al., 2024). This research focuses exclusively on the U.S. market to ensure consistency with its regulations, culture, and technology.

Sampling will use criterion, snowball, and network methods. Criterion sampling will ensure separation between customer and employee groups to minimize bias (Durdella, 2020). Snowball sampling will help identify customers who have personally experienced either loyalty or churn, offering narrative insights into their experiences with telecom services. It allows recruitment through participant referrals to reach diverse yet information-rich cases. Network sampling will identify employees like field technicians, call center leads, and CX managers who interact regularly with customers to gather their views on empathy and service quality. Two separate groups of participants will be chosen. Customer participants will include individuals who have either maintained long-term loyalty or recently switched providers within the past year. Their inclusion will provide contrasting perspectives on what fosters trust and what triggers dissatisfaction. Each customer participant must have had at least one substantial interaction with customer service in the past 12 months. Employee participants will include individuals across customer-facing and operational departments such as customer care representatives, field

technicians, and network operations staff. Employees selected will have direct or indirect influence on customer experience and reliability delivery. Involving both groups allows for a balanced analysis of empathy and trust from internal and external perspectives. Sample size will not be specified as the idea is to gather information until no new themes emerge from the collective groups.

Data collection will rely on semi-structured interviews and focus group discussions. Staff from network operations, customer service, and marketing will be interviewed to understand how their processes and values affect customer perceptions of reliability and trust. Each interview will last 45 to 60 minutes and may be conducted virtually or in person. Customer participants will be invited to share their experiences of reliability and empathy during service interactions and billing or repair processes. Employees will provide insight into internal procedures and constraints that affect service reliability and communication with customers. Where available, company documentation and case records related to customer interactions will be reviewed to add contextual detail to the narratives. All interviews will be audio recorded with informed consent and transcribed verbatim for analysis. Supplemental data such as company communications, customer feedback reports, or anonymized service logs may be reviewed to provide contextual triangulation and enrich understanding of organizational practices.

Analysis will follow the phenomenological procedures outlined by Creswell (2025). Analysis will begin with horizontalization, where all statements relevant to the phenomenon are given equal value. Significant statements will then be grouped into meaning units that capture recurring ideas or emotions related to reliability, empathy, and trust. This will be followed thematic coding to identify recurring patterns and relationships associated with empathy, trust, reliability, and automation. Codes will be developed inductively from the data, then refined to align with conceptual themes of customer experience. Comparative analysis will be used to examine consistencies and disconnects between internal employee perspectives and external customer perceptions. This approach will reveal how operational reliability and human empathy interact to influence trust and customer churn.

Assumptions

In this phenomenological exploration of reliability, empathy, and trust in telecommunications, several foundational assumptions inform both the methodological approach and the interpretation of findings. The first assumption is that participants can accurately and meaningfully describe their experiences related to reliability, empathy, and trust. This presumes that customers and employees possess both memory and reflective capacity to articulate how these concepts manifest in their interactions. Phenomenological research relies on genuine lived experiences as valid personal truths (Creswell, 2025). As a result, while participants' stories are subjective, they still offer authentic perspectives on how telecommunications relationships begin, develop, or deteriorate. While each individual experience is unique, phenomenology assumes that collective patterns emerge when multiple voices describe a shared phenomenon.

A second assumption is that reliability, empathy, and trust are universally recognizable across individuals and contexts. Every participant is expected to acknowledge these principles as fundamental to both personal interactions and organizational relationships. Reliability is commonly associated with consistency and dependability, empathy with understanding and care, and trust with confidence and integrity.

A third assumption concerns the honesty and openness of participant responses. Since the research involves sensitive subjects like dissatisfaction, emotional frustration, and organizational challenges, participants are expected to answer truthfully if they know their confidentiality will be protected. This may require the use of pseudonyms. Employee participants, who may describe internal challenges or shortcomings within their organizations, must feel open to talk without fear of repercussion. This may require management to be informed that this research is intended to improve the organization, and any discoveries are for that gain. Their willingness to speak truthfully is essential for capturing the internal dimensions of empathy and reliability that influence customer experience.

Another core assumption is that the researcher can engage participants with empathy and interpret their accounts without imposing personal bias. Phenomenological research acknowledges the role of researcher subjectivity but assumes that reflexivity and disciplined reflection can minimize distortions. The researcher assumes a posture of openness, recognizing that meaning emerges through dialogue between participant and researcher rather than from predetermined categories.

It is assumed that participants' experiences will yield patterns that reflect broader systemic issues rather than isolated incidents. Phenomenology seeks to distill the essence of shared experience, implying that individual stories will converge around common themes such as perceived reliability, responsiveness, or emotional disconnect. This justifies the expectation that findings will provide actionable insight for telecommunications organizations seeking to improve retention and customer experience strategies.

Limitations

This phenomenological study of reliability, empathy, and trust in telecommunications acknowledges several key limitations related to access, scope, participant representation, and temporal relevance. The first limitation concerns restricted access to proprietary organizational data and internal processes. Telecommunications companies often regard operational information, such as service metrics, network reliability statistics, or internal customer service protocols, as confidential and commercially sensitive. This study focuses primarily on the participants' experiences and perceptions rather than on internal quantitative data that could corroborate those perceptions. Findings will rely on qualitative insights rather than triangulation with internal performance metrics. Interpretations about how reliability and empathy are operationalized will be grounded in perception rather than direct observation of internal systems.

A second limitation involves the subjective nature of phenomenological inquiry. The data reflects personal meanings rather than objective truths since phenomenological inquiry involves

capturing lived experiences. Recollections and interpretations are influenced by memory, mood, and personal values, which may vary widely among individuals. The study assumes these accounts represent genuine perspectives, but it acknowledges that such subjectivity may introduce variability. The researcher must mitigate this limitation through thematic saturation.

A third limitation relates to sampling constraints. The study uses purposeful snowball and network sampling to recruit participants from both customers and employees. This sample does not represent the full diversity of the U.S. telecommunications customer base or workforce. Participants may differ in geography, age, or service type, and their experiences may not fully capture variations across urban and rural markets or among competing providers. This limitation restricts the generalizability of findings.

Another limitation arises from the rapidly evolving technological and regulatory environment of telecommunications. Innovations in artificial intelligence, automation, and customer analytics continuously reshape how service reliability and empathy are delivered. Additionally, regulatory policies by the Federal Communications Commission (FCC) and other governing bodies evolve to address consumer protection, data privacy, and fairness. Findings from this study, while relevant at the time of data collection, may be affected by future technological and policy developments that alter industry practices.

Because the study includes both customers and employees, there is potential for uneven depth between the two perspectives. Customers may focus primarily on service outcomes, while employees may emphasize operational or policy challenges. Balancing these perspectives in analysis requires careful methodological rigor to avoid overrepresenting one group's experiences. While this dual-lens design enriches understanding, it also increases interpretive complexity.

Implications

This study addresses an important gap by analyzing customer churn from both external (customer) and internal (telecom employee) viewpoints. Traditionally, research has emphasized predictive analytics and quantitative data, but little is known about how customers perceive reliability, empathy, and trust in telecommunications. This study's qualitative approach aims to capture those lived experiences to guide empathy-driven automation, redefined customer experience (CX) metrics, and more effective loyalty strategies.

The implications of this research are multifaceted. The study extends across academic theory, managerial practice, and public policy, offering insights into how telecommunications organizations can sustain customer loyalty in an era of automation and commoditization.

Academically, this study contributes to qualitative examination of customer experience and churn literature by linking phenomenological insights with telecom operational frameworks. It bridges the gap between predictive analytics and human perception. Traditional churn literature has focused on behavioral predictors such as billing, usage, and tenure.

Practically, it provides guidance for telecom leaders on designing automation that preserves empathy and strengthens trust. This study enriches the field of organizational behavior and service leadership by incorporating both customer and employee perspectives. This dual perspective advances the academic conversation about employee-customer relationships and alignment. This reinforces the idea that customer trust begins within the organization itself. This research offers actionable insights for improving retention strategies, automation design, and leadership development. Empathy is expressed not only through human interaction but also through thoughtful automation design that acknowledges customer needs and emotions. Managers can use the study's insights to design empathy-preserving automation systems, such as AI chatbots or self-service tools that communicate transparently and respond compassionately to customer issues. Training programs for customer service representatives can also integrate empathy and reliability principles derived from this study to enhance first-contact

resolution and customer satisfaction. From an internal leadership standpoint, understanding how employees interpret empathy, and reliability can guide initiatives that strengthen organizational culture. When employees feel supported and trusted, they are more likely to extend empathy to customers. Leaders can use this awareness to cultivate environments where emotional intelligence is valued alongside technical expertise.

From a policy perspective, it informs FCC and consumer advocacy discussions on how automation and commoditization affect human experiences in service industries. Telecommunications is a heavily regulated industry, and customer experience is increasingly viewed as a matter of public interest rather than purely corporate strategy. By illuminating how customers perceive fairness, empathy, and reliability, the research provides a qualitative foundation for policy discussions at agencies such as the Federal Communications Commission (FCC) and consumer advocacy organizations.

Findings may inform regulatory initiatives that promote transparency in automated decision-making, fair service practices, and responsible use of AI in customer engagement. As automation becomes more prevalent in complaint handling and service recovery, regulators must ensure that systems uphold ethical standards and maintain human accountability. Future research could expand on these findings through mixed-methods studies integrating qualitative insights with predictive churn models and reliability, availability, and maintainability (RAM) metrics.

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Appendix 1: Customer Interview Questions

Section 1: Demographics

1. What is your age range? (e.g., 18–24, 25–34, etc.)
2. What is your gender?
3. What is the highest level of education completed by the primary decision maker in your household?
4. What is your household income range? (Optional)
5. What is your current employment status?
6. What industry do you work in?
7. Do you work from home? If yes, how important is reliable internet to your work?
8. How many people regularly use telecommunications services in your household?

Section 2: Service Provider Background

1. Where is your service located? (City, State, ZIP)
2. Who is your current telecommunications service provider?
3. How long have you been with this provider?
4. Did you have a previous provider? If so, who and for how long?
5. Do you currently have a contract, or do you pay month-to-month?

Section 3: Service Experience

1. Can you describe a time when your telecommunications provider demonstrated reliability?
2. Was this related to service quality, billing, product purchase, or another area?
3. How did that experience affect your confidence in the provider?
4. Can you describe a time when your provider did not meet your expectations or when the experience was challenging?
5. What was happening at the time (e.g., outage, billing issue, customer support)?

6. How did the provider respond?
7. What emotions did you experience during the interaction?
8. How would you describe the empathy shown by the provider's representatives during your interactions?
9. What made you feel understood or not understood?
10. Can you recall an interaction that made you feel genuinely cared for or valued as a customer?
11. What stood out to you about that experience?

Section 4: Loyalty and Decision-Making

1. What experiences most influenced your decision to stay with or leave your provider?
2. What factors (e.g., reliability, empathy, trust, price) are most important to you when choosing a provider?
3. How do you define a "trustworthy" or "reliable" telecommunications company?

Appendix 1: Customer Interview Questions

Section 1: Background and Demographics

1. What is your age range? (e.g., 18–24, 25–34, 35–44, etc.)
2. What is your gender?
3. What telecommunications provider or organization do you work for?
4. What is your department or area of responsibility? (e.g., Customer Service, Field Operations, Network Support, Billing, Sales, etc.)
5. What is your current job title or role?
6. How long have you been employed with this company?
7. Do you primarily work from home, on-site, or in the field?
8. How frequently do you interact directly with customers? (Daily, Weekly, Occasionally, Never)
9. Would you describe customer interaction as your primary responsibility?

Section 2: Perceptions of Reliability, Empathy, and Trust

1. In your own words, how do you define reliability in your daily work?
2. What does a reliable employee or reliable system look like from your perspective?
3. How does your team measure or ensure reliability for customers?
4. How do you define empathy in your role?
5. What actions or behaviors communicate empathy to a customer?
6. Can you recall a time when showing empathy made a difference in a customer's experience?

Section 3: Operational Challenges and Experiences

1. What challenges do you face when trying to maintain empathy or understanding during customer interactions?
2. Are there particular situations or types of calls that make this more difficult?

3. What challenges do you face in maintaining empathy when using automated systems, scripts, or chatbots?
4. How do you balance efficiency requirements with genuine connection?
5. Describe a time when company procedures or policies helped you build trust with a customer.
6. What made that process effective?
7. Describe a time when company procedures or policies made it harder to build trust or resolve a customer issue.
8. How did you handle the situation?

Section 4: Reflections and Improvements

1. How does your organization support employees in delivering empathetic and reliable service?
2. (Probe: through training, leadership, performance metrics, team culture, or tools?)
3. What changes or improvements do you believe would enhance customer trust and loyalty?
4. From your perspective, what is the single most important factor that helps customers stay with your company?